

have been admirable, but it also revealed the merciless face of financial markets, which at the end of the day are only concerned about profits and losses that can be quantified. Calamities and deaths mean little to the markets unless it affects the economy and corporate earnings. And here lies the irony – the market moves on sentiment, and yet is unemotional. I do not really trust market reaction following a calamitous event of national or global import. My experience so far suggests that behind the market stoicism operates a desperate government, attempting to ensure that its markets send out an it's-business-as-usual signal to the world.

New Year celebrations were muted, given the losses suffered by so many. Few nursed positive hopes for the coming year. I was reminded about the conversation at the New Year party in Alibaug a year ago, where just about everybody present was emphatic that the market would continue its ascent. Where did those Japanese funds with sackfuls of cash disappear, I wondered as I replayed the discussion in my mind.

The only headline-grabbing purchase by a Japanese player during the year was Daiichi Sankyo's takeover of Ranbaxy. Daiichi bought out 34 per cent of the Ranbaxy's promoters' – the Singh brothers' – stake in the company at Rs 737 per share and made an open offer to buy 20 per cent more from minority shareholders at the same price. Daiichi eventually sold Ranbaxy to Sun Pharma in 2014 for half the price it had paid to buy it. In the interim, there were a series of regulatory raps for the company and a \$500 million settlement charge for exporting adulterated drugs to the US.

I thought about the market operator who had hosted the party, and his prognosis of the coming doom because of the havoc in the sub-prime loan market. He had analysed the situation correctly, but had not acted on his own advice in time.

Not many in the market would carry pleasant memories of this year, even though they were in the thick of action while history was being made.